

GAZETTE EXTRAORDINARY

The Malawi Gazette Supplement dated 5th April, 2023, containing
Acts (No. 4C)

MALAWI GOVERNMENT

(Published 5th April, 2023)

Act

No. 14 of 2023

I assent

DR. LAZARUS MCCARTHY CHAKWERA
PRESIDENT
4th April, 2023

ARRANGEMENT OF SECTIONS

SECTION

1. Short title
2. Authority to receive the sum of SDR 107,600,000
3. Application of the Financing
4. Payments charged on the Consolidated Fund
5. Exemption from taxes, charges, etc.
6. Finalization and signature of the Financing Agreement

An Act to authorize the Government of the Republic of Malaŵi to receive a grant from the International Development Association, in various convertible currencies, not exceeding in the aggregate, the equivalent of one hundred and seven million, six hundred thousand Special Drawing Rights (SDR107,600,000)

ENACTED by the Parliament of Malawi as follows —

1. This Act may be cited as the International Development Association (Water and Sanitation Project I) (Authorization) Act, 2023. Short title
2. (1) The Minister of Finance, on behalf of the Government of the Republic of Malaŵi, is hereby authorized to receive from the International Development Association, a grant in various convertible currencies, not exceeding in the aggregate, the equivalent of one hundred and seven million, six hundred thousand Special Drawing Rights (SDR 107,600,000) (the “Financing”). Authority to receive the sum of SDR 107,600,000

(2) The Financing shall be applied for the purpose specified in section 3, at the times and on the terms and conditions which the Minister may, in his discretion, agree with the International Development Association.

(3) The terms and conditions referred to in subsection (2) shall be reduced to writing and such agreement is hereinafter referred to as the "Financing Agreement".

Application
of the
Financing

3. The proceeds of the Financing authorized by section 2 shall be appropriated and applied for the purpose of financing the Water and Sanitation Project I, and for no other purpose.

Payments
charged on
the
Consolidated
Fund

4. Any payments required to be made, from time to time, by the Government to the International Development Association, under and in accordance with the provisions of the Financing Agreement, are hereby charged on the Consolidated Fund.

Exemption
from taxes,
charges, etc

5. All sums to be paid in accordance with section 4 shall, notwithstanding the provisions of any other written law, be paid without deductions for, and free from, any tax or charge whatsoever, and shall be free from all restrictions or limitations imposed by or under any written law of Malaŵi.

Finalization
and signature
of the
Financing
Agreement

6. The Minister or such other persons as he may appoint, is hereby authorized to—

(a) settle the terms of the Financing Agreement, but not so as to affect the general purpose thereof, nor to increase the amount of the Financing;

(b) sign the Financing Agreement on behalf of the Government; and

(c) do such other things as may be necessary to implement the terms of the Financing Agreement.

Passed in Parliament this twenty-third day of March, two thousand and twenty three.

FIONA KALEMBA
Clerk of Parliament

(Published 5th April, 2023)

Act

No. 15 of 2023

I assent

DR. LAZARUS MCCARTHY CHAKWERA

PRESIDENT

4th April, 2023

ARRANGEMENT OF SECTIONS

SECTION

1. Short title
2. Authority to receive the sum of SDR 85,800,000
3. Application of the Financing
4. Payments charged on the Consolidated Fund
5. Exemption from taxes, charges, etc.
6. Finalization and signature of the Financing Agreement

An Act to authorize the Government of the Republic of Malaŵi to receive a grant from the International Development Association, in various convertible currencies, not exceeding in the aggregate, the equivalent of eighty-five million, eight hundred thousand Special Drawing Rights (SDR 85,800,000)

ENACTED by the Parliament of Malawi as follows —

1. This Act may be cited as the International Development Association (Second Additional Financing for Social Support for Resilient Livelihoods Project) (Authorization) Act, 2023. Short title

2.—(1) The Minister of Finance, on behalf of the Government of the Republic of Malaŵi, is hereby authorized to receive from the International Development Association, a grant in various convertible currencies, not exceeding in the aggregate, the equivalent of eighty-five million, eight hundred thousand Special Drawing Rights (SDR 85,800,000) (the “Financing”). Authority to
receive the
sum of SDR
85,800,000

(2) The Financing shall be applied for the purpose specified in section 3, at the times and on the terms and conditions which the Minister may, in his discretion, agree with the International Development Association.

(3) The terms and conditions referred to in subsection (2) shall be reduced to writing and such agreement is hereinafter referred to as the "Financing Agreement".

Application
of the
Financing

3. The proceeds of the Financing authorized by section 2 shall be appropriated and applied for the purpose of providing second additional financing for the Social Support for Resilient Livelihoods Project, and for no other purpose.

Payments
charged on
the
Consolidated
Fund

4. Any payments required to be made, from time to time, by the Government to the International Development Association, under and in accordance with the provisions of the Financing Agreement, are hereby charged on the Consolidated Fund.

Exemption
from taxes,
charges, etc

5. All sums to be paid in accordance with section 4 shall, notwithstanding the provisions of any other written law, be paid without deductions for, and free from, any tax or charge whatsoever, and shall be free from all restrictions or limitations imposed by or under any written law of Malawi.

Finalization
and signature
of the
Financing
Agreement

6. The Minister or such other persons as he may appoint, is hereby authorized to—

(a) settle the terms of the Financing Agreement, but not so as to affect the general purpose thereof, nor to increase the amount of the Financing;

(b) sign the Financing Agreement on behalf of the Government; and

(c) do such other things as may be necessary to implement the terms of the Financing Agreement.

Passed in Parliament this twenty-third day of March, two thousand and twenty three.

FIONA KALEMBA
Clerk of Parliament

Insertion of
new Part
VIII A into the
principal Act

3. The principal Act is amended, by inserting, immediately after Part VIII, a new Part VIII A as follows—

“PART VIII A—EXPORT WAREHOUSES

Licensing of
export
warehouses

57A.—(1) A person who intends to operate an export warehouse for the deposit and security of export goods shall obtain a licence for operating the warehouse from the Commissioner General.

Cap.42:01 sub.
leg. p. 79.

(2) An application for an export warehouse licence shall be in form 125 prescribed in the *Eleventh Schedule* to the Customs and Excise Regulations and shall be accompanied by the prescribed fee.

(3) The Commissioner General shall, within thirty days of receipt of the application—

(a) issue an export warehouse licence in the prescribed form, where the Commissioner General is satisfied that the premises meet the prescribed requirements for licensing; or

(b) reject the application and give reasons therefor, where the Commissioner General is satisfied that the premises do not meet the prescribed criteria for licensing.

(4) The Commissioner General shall license every export warehouse as either—

(a) a general export warehouse for the warehousing of export goods generally; or

(b) a private export warehouse for the warehousing of export goods which are the property of the licensee only.

(5) A licence issued under this section shall be subject to such conditions as the Commissioner General may impose.

(6) The Commissioner General may, with reasons in writing—

(a) refuse to issue or renew;

(b) impose such further conditions to;

(c) authorize such exceptions to; or

(d) revoke,

(Published 5th April, 2023)

Act

No. 16 of 2023

I assent

DR. LAZARUS MCCARTHY CHAKWERA

PRESIDENT

4th April, 2023

ARRANGEMENT OF SECTIONS

SECTION

1. Short title
2. Amendment of s. 2 to Cap.42:01
3. Insertion of new Part VIIIA into the principal Act
4. Amendment of s. 77C of the principal Act
5. Repeal of Schedule C of the principal Act

An Act to amend the Customs and Excise Act

ENACTED by the Parliament of Malawi as follows—

1. This Act may be cited as the Customs and Excise (Amendment) Act, 2023. Short title
2. The Customs and Excise Act (hereinafter referred to as the “principal Act”) is amended, in section 2— Amendment
of s. 2 to Cap.
42:01
 - (a) in the definition of the word “duty”, by deleting the word “withholding” and substituting therefor the words “advance income”; and
 - (b) by inserting, in the correct alphabetical order, a definition of “export warehouse”, as follows—

““export warehouse” means a customs-controlled place licensed by the Commissioner General for the deposit of goods prior to their exportation and from which export customs clearance formalities may be carried out;”.

a licence under this section, as he or she considers necessary.

(7) A licence issued under this section shall expire on the 31st day of December of the second year following the date of issue.

57B.—(1) An export warehouse licensee may, upon approval of the Commissioner General, transfer the licence to apply to a different place belonging to the licensee.

Transfer of
licence

(2) An export warehouse licence shall not be transferred from one person to another.

57C.—(1) Where the Commissioner General revokes or refuses to renew any export warehouse licence, he or she shall notify the licensee of such revocation or refusal and thereupon such notification shall be deemed to be notice to the owners of all goods warehoused therein.

Revocation or
non-renewal
of licence

(2) Where a licensee intends not to renew an export warehouse licence, the licensee shall cause thirty days' notice of such intention to be given to the Commissioner General and to the owners of all goods warehoused therein.

(3) Where the licence in respect of any bonded export warehouse has been revoked or has expired, all goods warehoused therein shall, within such time as the Commissioner General may direct—

(a) be entered and exported in accordance with the provisions of section 4; or

(b) be transferred to another export warehouse.

57D. A holder of an export warehouse licence shall—

Licensees to
provide
facilities,
keep
records

(a) keep such records of all goods warehoused therein as the Commissioner General may require and make such records at all reasonable times available for examination by any officer;

(b) provide all necessary labour and materials for the storing, examining, weighing and taking stock of the goods warehoused therein whenever the proper officer so requires;

(c) on request of the proper officer, produce any goods deposited in such warehouse; and

(d) be accountable for all goods deposited in the export warehouse, in accordance with customs laws and any other laws regarding export of goods.

Goods for
warehousing

57E.—(1) The Minister may, by regulations, prescribe a schedule of goods to be deposited into an export warehouse.

(2) An exporter who intends to export any goods listed in the schedule in subsection (1), shall first deposit the goods in an export warehouse.

(3) The Commissioner General may, upon application of an exporter, waive the requirement for depositing goods in an export warehouse under subsection (2), on conditions that the Commissioner General may prescribe.

(4) The proper officer may, for verification purposes, at any time take an account of any warehoused goods entered for exportation.

Entry of
warehoused
goods for
exportation

57F.—(1) Except in respect of goods which, in accordance with the customs laws are damaged, lost or abandoned, all goods which have been deposited into an export warehouse shall, prior to removal from the export warehouse, be entered for exportation.

(2) When any warehoused goods are entered for exportation the Commissioner General may require the owner of the goods to submit export compliance documentation, including documentation showing that—

Cap.45:01

(a) payment in respect of the goods has been made, or is to be made, to a person resident in Malawi in accordance with the Exchange Control Act; and

(b) the amount of the payment that has been made or is to be made is such as to represent a return for the goods that, in all the circumstances, is satisfactory in the interests of Malawi.

(3) All warehoused goods, which have not been entered for export, from an export warehouse within six months of the date on which they were deposited in that warehouse, shall be returned to open stock by the owner thereof:

Provided that the Commissioner General may permit the goods to remain in the export warehouse after the initial period of six months for a further period, not exceeding six months, as he or she considers desirable.”.

4. The principal Act is amended, in section 77C—

(a) under subsection (1), by deleting the words “Schedule C” and substituting therefor the words “the Regulations”; and

(b) by deleting subsection (2) and substituting therefor a new subsection (2) as follows—

“(2) The Minister may, by order published in the *Gazette*, specify—

(a) the excisable goods to which excise tax stamps shall be affixed;

(b) the systems for management of excise tax stamps and excisable goods; and

(c) the manner, place and time of affixing excise tax stamps.”.

5. The principal Act is amended by repealing Schedule C.

Amendment
of s. 77C of
the principal
Act

Repeal of
Schedule C of
the principal
Act

Passed in Parliament this thirty-first day of March, two thousand and twenty three.

FIONA KALEMBA
Clerk of Parliament

(Published 5th April, 2023)

Act

No. 17 of 2023

I assent

DR. LAZARUS MCCARTHY CHAKWERA

PRESIDENT

4th April, 2023

ARRANGEMENT OF SECTIONS

SECTION

1. Short title
2. Amendment of s. 2 to Cap 41:01
3. Amendment of s. 28 of the principal Act
4. Replacement of s.37 of the principal Act
5. Amendment of s. 76A (1) of the principal Act
6. Amendment of s. 88 (1) of the principal Act
7. Amendment of s. 102A of the principal Act
8. Amendment of s. 102B (1) of the principal Act
9. Insertion of s. 102C into the principal Act
10. Amendment of s.112 (2) of the principal Act
11. Amendment of the Eleventh Schedule of the principal Act
12. Amendment of the Fourteenth Schedule of the principal Act
13. Amendment of the Fifteenth Schedule of the principal Act

An Act to amend the Taxation Act

ENACTED by the Parliament of Malawi as follows—

1. This Act may be cited as the Taxation (Amendment) Act, 2023. Short title

2. The Taxation Act (hereinafter referred to as the “principal Act”) is amended, in section 2, by— Amendment
of s.2 to Cap
41:01

- (a) deleting the definition of the words “provident fund”;
- (b) deleting the definition of the words “pension fund” and substituting therefor a new definition as follows—

““pension fund” means a superannuation, pension, widows’ or orphans’ fund established by any enactment whatsoever, whether in force in Malawi or elsewhere;”;
and

- (c) inserting, in the correct alphabetical order, the following new definitions—

““debt” means any loan, financial instrument, finance lease, financial derivative, or any arrangement that gives rise to interest, discounts, finance or other charges that are deductible in the computation of taxable income;

“deemed income” includes any income earned from a source in Malawi not restricted to physical presence;

“equity” includes—

(a) in case of a trust, the corpus of the trust; and

(b) in case of any other person, share capital, capital contributions, retained profits, interest-free loans or revaluation reserves; and

“place of effective management” means ordinarily the place where the most senior person or group of persons, such as a board of directors, make the key management and commercial decisions necessary for the conduct of the company’s business;”

Amendment
of s.28 of the
principal Act

3. The principal Act is amended, in section 28, by—

- (a) deleting subsection (1) and substituting therefor a new subsection (1) as follows—

“(1) For the purpose of determining the taxable income of any taxpayer, there shall be deducted from the assessable income of such taxpayer, the amounts of any expenditure and losses, not being expenditure of a capital nature, wholly and exclusively and necessarily incurred by the taxpayer for the purposes of his trade or in the production of the income.”;

- (b) renumbering subsections (2), (3), (4), (5) and (6) as subsections (3), (4), (5), (6) and (7); and

- (c) inserting a new subsection (2) as follows—

“(2) In determining the allowable deductions under this section—

(a) a taxpayer who makes both taxable and exempt income, shall only deduct the expenditure incurred in the production of the taxable income;

(b) expenditure related to income that is subject to a final tax shall not be deductible; and

(c) where a taxpayer has made both taxable and exempt income or income subject to a final tax, but cannot directly attribute the expenditure to the taxable and the exempt income or the income subject to a final tax under paragraphs (a) and (b), the person may deduct as expenditure an amount that bears the same ratio as the taxable income bear to the total income, applying the following apportionment formula:

$$\frac{A \times B}{C}$$

Where

A is the total amount of taxable income for the period;

B is the amount of expenditure related to both taxable and exempt income or income subject to a final tax; and

C is the total income for the period.

(d) Where the Commissioner General considers that the formula in paragraph (c) will result in an unreasonable calculation of the amount of allowable deduction, he may approve or direct alternative methods of apportioning the expenditure.”.

4. The principal Act is amended, by deleting section 37 and replacing therefor a new section as follows—

Replacement
of s. 37 of the
principal Act

“Allowable
deductions-
pension funds

37. There shall be allowed as a deduction—

(a) an amount to be determined in accordance with the provisions of the *Fifth Schedule* in respect of ordinary contributions as defined in that Schedule which are made in the year of assessment to a pension fund;

(b) any contribution, other than any ordinary contribution as defined in the *Fifth Schedule*, by an

employer to a pension fund which is made for the purpose of ensuring that the moneys in the fund are sufficient to meet all payments to be made in terms of the rule of the fund:

Provided that the Commissioner General may direct that such a contribution by an employer to a pension fund shall be treated as an expense to be spread over such period of years as the Commissioner General may determine;

(c) contributions to the Parliamentary Pensions Premium Fund made by a member of the National Assembly pursuant to section 11 of the Parliamentary Pensions (Enabling Provisions) Act.”.

Cap 2:06

Amendment of
s. 76A (1) of
the principal
Act

5. The principal Act is amended, in section 76A (1), by inserting the words “and having a place of effective management”, immediately after the words “resident in Malawi”.

Amendment of
s. 88 (1) of the
principal Act

6. The principal Act is amended, in section 88(1), by inserting the words “or for the purpose of auditing the affairs of a taxpayer”, immediately after the words “of any person”.

Amendment of
s. 102A of the
principal Act

7. The principal Act is amended, in section 102A, by deleting subsection (2) and substituting therefor a new subsection (2), as follows—

“(2) A withholding tax exemption certificate shall not be granted in respect of interest and rental payment for immovable property, royalties, fees other than fees that constitutes active business income, commissions other than on insurance, payment of casual labour, payment to contractors and subcontractors, and payment for farm produce to farmers’ clubs, and the expression “interest” shall have the meaning assigned to it in the *Fourteenth Schedule*.”.

Amendment of
s. 102B (1) of
the principal
Act

8. The principal Act is amended, in section 102B—

(a) subsection (1), by deleting the words “three per centum” appearing immediately after the words “tax at” and substituting therefor the words “ten per centum”; and

(b) subsection (3), by deleting the words “or the importation of goods” immediately after the words “who imports goods”.

9. The principal Act is amended, by inserting, immediately after section 102B, a new section 102C, as follows—

Insertion of s. 102C into the principal Act

“Advance
income tax
on exports

102C.—(1) Any person who exports goods shall be required to pay, in advance, income tax at ten per centum of the customs value of the goods for duty purposes at the port of exit from Malawi.

(2) Advance income tax shall be charged and payable on the exportation of goods and for that purpose any written law applicable to collection of customs duties and other taxes on exportation of goods shall apply with modifications as are necessary.

(3) A person who exports goods shall be exempted where—

(a) the person exports goods intended for personal, family, home and other needs of a person not engaged in business activities, and exports shall be acknowledged by the customs authority as goods for personal use on the basis of—

(i) statement of a person about the exported goods in oral or written form using a passenger customs declaration;

(ii) nature and quantity of the goods; and

(iii) frequency of exportations by a person:

Provided that any exportation of goods whose value does not exceed five hundred United States dollars shall not be subjected to advance income tax on exports;

(b) the person has produced a valid Withholding Tax Exemption Certificate or a valid Tax Clearance Certificate issued by the Commissioner General;

(c) the exportation is made by a Government ministry, department or agency;

(d) the person is tax exempt under this Act;

(e) the person makes a temporary export;

(f) the person re-exports; or

(g) the export is made under the Simplified Trade Regime.”.

10. The principal Act is amended, in section 112(2), by inserting immediately after paragraph (e), a new paragraph (f), as follows—

Amendment of s. 112 of the principal Act

“(f) fails to produce for examination, any deeds, plans, instruments, books, accounts, trade lists, stock lists, or documents as required under section 88 by the Commissioner General, for the purpose of obtaining full information in respect of any part of the income and the liability to mineral royalty of any person or for the purpose of auditing the affairs of a taxpayer.”.

Amendment of
the Eleventh
Schedule of the
principal Act

11. The principal Act is amended, in the *Eleventh Schedule*, by—

(a) deleting paragraph (c) and substituting therefor a new paragraph (c) as follows—

“(c) in the case of all companies other than companies engaged in mining operations under a licence issued under the Mines and Mineral Act, thirty per cent of taxable income except that in the case of companies operating in priority industries, so designated by the Minister for this purpose, by order published in the *Gazette*, the applicable rate shall be zero per cent for such period, not exceeding ten years, as the Minister may grant in the order:

Provided that an additional tax of five per cent of taxable income shall be charged in respect of all companies not incorporated in Malawi:

Provided further that an additional tax of ten percent on any taxable income above ten billion Kwacha shall be charged in respect of a bank licensed under the Financial Services Act;”;

Cap. 44:05

(b) deleting Table B in the Appendix and substituting therefor a new Table B, as follows—

“B—TABLE OF RATES OF INCOME TAX ON EMPLOYMENT INCOME

<i>Annual Taxable Income</i>	<i>Rate</i>
First K1,200,000	0%
Next K4,200,000	25%
Next K24,600,000	30%
Excess of K30,000,000 ..	35%”.

Amendment of
the Fourteenth
Schedule of the
principal Act

12. The principal Act is amended, in the *Fourteenth Schedule* by—

(a) deleting paragraph (g) and substituting therefor a new paragraph (g) as follows—

“(g) Payment for farm produce—

(i) payment for farm produce
to farmers’ clubs 1%

(ii) payment for farm produce . . . 3%”;

(b) deleting paragraph (h) and substituting therefor a new paragraph as follows—

“(h) Payment to contractors in the building and
construction industries . . . 10%”;

(c) inserting a new paragraph (o), immediately after paragraph (n), as follows—

“(o) Payment for quarry stones and quarry
materials 10%”; and

(d) deleting note 4 and substituting therefor a new note 4, as follows—

“4. The tax withheld from income from sale of farm
produce by farmers’ clubs shall be a final tax.”.

13. The principal Act is amended, in the *Fifteenth Schedule*, by inserting new paragraph 21 and 22, as follows—

“21. Purchase of explosives from the Malawi
Police Services.

22. Purchase of Ethanol.”.

Amendment
of the
Fifteenth
Schedule of
the principal
Act

Passed in Parliament this thirty-first day of March, two thousand and twenty three.

FIONA KALEMBA
Clerk of Parliament

(Published 5th April, 2023)

Act

No. 18 of 2023

I assent

DR. LAZARUS MCCARTHY CHAKWERA

PRESIDENT

4th April, 2023

ARRANGEMENT OF SECTIONS

SECTION

1. Short title
2. Amendment of s. 30 (1) to Cap. 42:02
3. Repeal of s. 46F of the principal Act
4. Amendment of First Schedule to the principal Act
5. Amendment of the Second Schedule to the principal Act

An Act to amend the Value Added Tax Act

ENACTED by the Parliament of Malawi as follows—

1. This Act may be cited as the Value Added Tax (Amendment) Act, 2023. Short title
2. The Value Added Tax Act (hereinafter “the principal Act”) is amended, in section 30 (1), by inserting, immediately after paragraph (d), the following new paragraph (e)— Amendment of s.30 (1) to Cap. 42:02

“(e) in respect of exports, the taxable person is in possession of documentation showing deposit of the export proceeds into a financial institution in Malawi.”.
3. Section 46F of the principal Act is repealed. Repeal of s 46F of the principal Act
4. The *First Schedule* to the principal Act is amended— Amendment of First Schedule to the principal Act

(a) by reinserting paragraph 9, as follows—

“9. Electric motor vehicles

Exemption covers electric motor vehicles under Customs Tariff Headings 8702.40.11, 8702.40.12, 8702.40.13, 8702.40.21, 8702.40.22, 8702.40.23, 8702.40.24, 8702.40.25, 8702.40.26, 8702.40.27, 8702.40.28, 8702.40.29, 8702.40.30, 8702.40.51, 8702.40.52, 8702.40.53, 8702.40.54, 8702.40.55, 8703.80.10, 8703.80.20, 8703.80.90, and 8704.60.00.”;

(b) by deleting paragraph 11 and substituting therefor, the following new paragraph 11—

“11. Gas stoves

Exemption covers gas stoves under Customs Tariff Headings 7321.11.10 and 8516.60.91.”;

(c) by deleting paragraph 21 and substituting therefor, the following new paragraph 21—

“21. Wheat Flour

Exemption covers wheat flour under customs tariff subheading 1101.00.10.”; and

(d) by deleting paragraph 26 and replacing therefor, the following new paragraph 26—

“26. Urinary drainage bags

Exemption covers urinary drainage bags under Customs Tariff Subheading 3926.90.10.”.

Amendment
of Second
Schedule to
the principal
Act

5. The *Second Schedule* to the principal Act is amended—

(a) by deleting paragraph 1 and substituting therefor, the following new paragraph 1—

“1. *Export of goods and services*

The zero rating covers goods under customs control for export purposes or goods which are taken out from any part of the customs area and brought into an export processing zone.”;

(b) under paragraph 5, by deleting the words ““4820.20.00” and substituting therefor, the words “4820.20.10”; and

(c) by inserting, in the correct numerical order, a new paragraph 6 as follows—

“6. Supply of a business as a going concern

For the purpose of this paragraph, the “supply of a business as a going concern” means the disposal of any part of a business which is capable of separate operation and the buyer must carry on the same kind of business as that carried on by the seller.”.

Passed in Parliament this thirty-first day of March, two thousand and twenty three.

FIONA KALEMBA
Clerk of Parliament



(Published 5th April, 2023)

Act

No. 19 of 2023

I assent

DR. LAZARUS MCCARTHY CHAKWERA
PRESIDENT
4th April, 2023

ARRANGEMENT OF SECTIONS

SECTION

1. Short title
2. Expenditure of K3,788,318,957,913 authorized
3. Appropriation
4. Unused balance to lapse

Schedule

An Act to appropriate the sum of three trillion, seven hundred eighty-eight billion, three hundred eighteen million, nine hundred fifty-seven thousand, nine hundred thirteen Kwacha to the goods and services of the financial year ending 31st March, 2024

ENACTED by the Parliament of Malaŵi as follows—

1. This Act may be cited as the Appropriation Act, 2023.
2. The Minister of Finance is hereby authorized, in the manner provided in the Public Finance Management Act, to direct payment out of the Consolidated Fund during the financial year ending 31st March, 2024, of sums not exceeding in the whole of three trillion, seven hundred eighty-eight billion, three hundred eighteen million, nine hundred fifty-seven thousand, nine hundred thirteen Kwacha to the goods and services of the financial year ending 31st March, 2024.

Short title

Expenditure
of
K3,788,318,9
57,913
authorized
No. 4 of 2022

Appropriation

3. The sum authorized in section 2, not exceeding in the whole, three trillion, seven hundred eighty-eight billion, three hundred eighteen million, nine hundred fifty-seven thousand, nine hundred thirteen Kwacha shall be appropriated for the purpose of expenditure out of the Consolidated Revenue and Capital Accounts, and each amount set out in the *Schedule* shall be appropriated to the Vote for the Head of Expenditure appearing opposite the amount.

Unused
balance to
lapse

4. Any balance of an amount set out in the *Schedule* which is unused at the end of the financial year ending 31st March, 2024, shall lapse and shall not be available for making payments in any subsequent months.

SCHEDULE

ESTIMATED EXPENDITURE ON RECURRENT AND CAPITAL ACCOUNTS

<i>Head</i>	<i>Statutory Expenditure</i>	<i>Recurrent 2023/24</i> <i>K</i>	<i>Capital 2023/24</i> <i>K</i>	<i>Estimates 2023/24</i> <i>K</i>
010	The Presidency	106,837,500	-	106,837,500
020	Miscellaneous and Other Statutory Payments	33,475,400,000	-	33,475,400,000
030	Pensions and Gratuities	163,380,854,732	-	163,380,854,732
040	Public Debt Charges	914,864,267,927	-	914,864,267,927
	Total Statutory Expenditure	1,111,827,360,159	-	1,111,827,360,159
<i>Vote</i>	<i>Voted Expenditure</i>	<i>Recurrent 2023/24</i> <i>K</i>	<i>Capital 2023/24</i> <i>K</i>	<i>Estimates 2023/24</i> <i>K</i>
050	State Residences	19,323,062,429	4,750,000,000	24,073,062,429
060	National Audit Office	2,460,238,230	-	2,460,238,230
070	The Judiciary	21,167,507,572	1,563,188,805	22,730,696,377
080	National Assembly	34,741,517,363	-	34,741,517,363
081	Office of the Director of Public Officer's Declarations	1,184,616,011	-	1,184,616,011
082	Independent Complaints Commission	653,443,951	-	653,443,951
090	Office of the President and Cabinet	17,133,468,973	2,689,398,975	19,822,867,948
091	National Intelligence Service	5,255,825,777	-	5,255,825,777
093	Department of Human Resources Management and Development	109,261,820,360	-	109,261,820,360
097	Civil Service Commission	1,111,407,902	-	1,111,407,902

SCHEDULE—(continued)

ESTIMATED EXPENDITURE ON RECURRENT AND CAPITAL ACCOUNTS

Vote	Voted Expenditure	Recurrent 2023/24		Capital 2023/24		Estimates 2023/24	
		K		K		K	
100	Ministry of Defence	709,034,859		1,300,000,000		2,009,034,859	
101	Malawi Defence Force	153,360,451,614		-		153,360,451,614	
120	Ministry of Local Government, Unity and Culture	5,515,183,702		13,800,000,000		19,315,183,702	
121	National Local Government Finance Committee	23,272,884,288		166,195,252,214		189,468,136,502	
130	Ministry of Lands	19,834,878,939		3,300,000,000		23,134,878,939	
180	Ministry of Youth and Sports	1,604,176,051		6,214,273,335		7,818,449,386	
190	Ministry of Agriculture	152,620,464,123		208,197,862,001		360,818,326,124	
210	Ministry of Water and Sanitation	1,942,481,930		44,635,807,285		46,578,289,215	
240	Office of the Vice President	3,981,398,070		-		3,981,398,070	
250	Ministry of Education	109,316,291,445		56,388,785,595		165,705,077,040	
260	Ministry of Foreign Affairs	37,246,552,043		300,000,000		37,546,552,043	
270	Ministry of Finance and Economic Affairs	7,509,969,800		7,721,178,100		15,231,147,900	
271	Accountant General's Department	10,753,634,667		2,900,000,000		13,653,634,667	
273	Malawi Revenue Authority	62,755,268,540		-		62,755,268,540	
274	Roads Fund Administration	73,450,905,422		65,349,405,263		138,800,310,685	
275	Sub-vented Organizations	145,434,692,234		31,470,959,036		176,905,651,270	
276	National Statistical Office	2,480,241,156		-		2,480,241,156	
277	National Planning Commission	1,567,981,738		-		1,567,981,738	

SCHEDULE— (continued)

ESTIMATED EXPENDITURE ON RECURRENT AND CAPITAL ACCOUNTS

<i>Vote</i>	<i>Voted Expenditure</i>	<i>Recurrent 2023/24</i> <i>K</i>	<i>Capital 2023/24</i> <i>K</i>	<i>Estimates 2023/24</i> <i>K</i>
278	Unforeseen Expenditures	5,000,000,000	-	5,000,000,000
279	Financial Intelligence Authority	1,385,726,333	-	1,385,726,333
310	Ministry of Health	108,357,756,008	59,160,888,731	167,518,644,739
320	Ministry of Gender	8,600,794,124	23,072,343,750	31,673,137,874
330	Ministry of Information	5,225,964,999	14,852,809,927	20,078,774,926
340	Ministry of Homeland Security	2,420,417,047	2,910,169,001	5,330,586,048
341	Malawi Police Service	93,084,907,416	1,550,000,000	94,634,907,416
342	Malawi Prison Service	19,856,041,965	700,000,000	20,556,041,965
343	Immigration Department	8,443,692,575	450,000,000	8,893,692,575
344	National Registration Bureau	21,343,794,939	-	21,343,794,939
350	Ministry of Justice	1,488,384,422	-	1,488,384,422
351	Directorate of Public Prosecution and State Advocate	2,005,238,224	-	2,005,238,224
352	Registrar General's Department	1,442,811,356	-	1,442,811,356
353	Administrator General's Department	668,699,173	-	668,699,173
354	Attorney General's Department	545,546,031	-	545,546,031
360	Ministry of Tourism	3,728,538,718	1,600,000,000	5,328,538,718
370	Ministry of Labour	9,839,703,416	800,000,000	10,639,703,416
390	Ministry of Trade and Industry	3,952,938,340	3,662,797,191	7,615,735,531

SCHEDULE—(continued)
ESTIMATED EXPENDITURE ON RECURRENT AND CAPITAL ACCOUNTS

<i>Vote</i>	<i>Voted Expenditure</i>	<i>Recurrent 2023/24</i> <i>K</i>	<i>Capital 2023/24</i> <i>K</i>	<i>Estimates 2023/24</i> <i>K</i>
400	Ministry of Transport and Public Works	8,871,977,964	29,965,425,800	38,837,403,764
420	Roads Authority	4,999,726,410	-	4,999,726,410
430	Malawi Human Rights Commission	2,059,448,312	-	2,059,448,312
460	Malawi Electoral Commission	48,386,041,564	-	48,386,041,564
470	Ministry of Natural Resources and Climate Change	9,438,125,101	2,856,757,863	12,294,882,964
480	Ministry of Mining	2,925,705,893	700,000,000	3,625,705,893
490	Ministry of Energy	7,123,123,401	11,247,589,250	18,370,712,651
510	Anti-Corruption Bureau	6,411,521,216	300,000,000	6,711,521,216
520	Legal Aid Bureau	2,128,565,091	-	2,128,565,091
550	Office of the Ombudsman	1,410,977,342	-	1,410,977,342
560	Malawi Law Commission	1,001,495,323	-	1,001,495,323
601	Blantyre City Council	636,822,449	8,187,234,388	8,824,056,837
602	Lilongwe City Council	662,997,204	6,739,234,388	7,402,231,592
603	Mzuzu City Council	338,997,207	3,483,234,388	3,822,231,595
604	Zomba City Council	186,955,319	3,483,234,388	3,670,189,707
701	Kasungu Municipal	53,356,125	22,831,252	76,187,376
702	Mangochi Town Council	57,673,210	22,831,252	80,504,462
807	Luchenza Municipal	51,930,893	22,831,252	74,762,145
901	Balaka District Council	13,807,122,407	1,886,697,572	15,693,819,979

SCHEDULE—(continued)

ESTIMATED EXPENDITURE ON RECURRENT AND CAPITAL ACCOUNTS

Vote	Voted Expenditure	Recurrent 2023/24	Capital 2023/24	Estimates 2023/24
		K	K	K
902	Blantyre District Council	23,699,214,970	690,783,974	24,389,998,944
903	Chikwawa District Council	13,677,970,301	4,663,063,233	18,341,033,534
904	Chiradzulu District Council	11,976,416,163	690,976,007	12,667,392,171
905	Chitipa District Council	8,418,898,355	1,591,387,654	10,010,286,009
906	Dedza District Council	16,787,723,274	1,127,322,351	17,915,045,625
907	Dowa District Council	15,777,125,707	3,889,960,365	19,667,086,072
908	Karonga District Council	10,505,039,510	708,159,871	11,213,199,381
909	Kasungu District Council	23,832,816,336	4,221,381,450	28,054,197,787
910	Likoma District Council	1,022,814,026	644,038,386	1,666,852,413
911	Lilongwe District Council	46,824,077,197	2,342,085,105	49,166,162,302
912	Machinga District Council	18,083,718,551	996,067,127	19,079,785,677
913	Mangochi District Council	22,740,945,282	1,616,998,422	24,357,943,704
914	Mchinji District Council	16,228,614,202	855,400,734	17,084,014,935
915	M'mbelwa District Council	29,129,482,074	2,712,403,120	31,841,885,195
916	Mulanje District Council	16,153,210,367	1,211,969,792	17,365,180,159
917	Mwanza District Council	5,194,757,179	344,919,704	5,539,676,883
918	Neno District Council	5,511,813,654	377,076,365	5,888,890,019
919	Nkhata-Bay District Council	9,943,101,011	784,186,877	10,727,287,888

SCHEDULE—(continued)

ESTIMATED EXPENDITURE ON RECURRENT AND CAPITAL ACCOUNTS

<i>Vote</i>	<i>Voted Expenditure</i>	<i>Recurrent 2023/24 K</i>	<i>Capital 2023/24 K</i>	<i>Estimates 2023/24 K</i>
920	Nkhotakota District Council	11,572,262,918	687,557,241	12,259,820,158
921	Nsanje District Council	10,585,426,675	733,680,088	11,319,106,764
922	Ntcheu District Council	15,218,715,672	949,007,360	16,167,723,032
923	Ntchisi District Council	9,024,136,403	567,302,140	9,591,438,543
924	Phalombe District Council	10,952,384,131	724,939,938	11,677,324,069
925	Rumphi District Council	8,963,214,222	558,039,788	9,521,254,010
926	Salima District Council	12,222,437,362	714,214,713	12,936,652,075
927	Thyolo District Council	16,229,710,815	970,248,296	17,199,959,110
928	Zomba District Council	21,592,294,578	1,204,169,015	22,796,463,593
	Total Voted Expenditure	1,845,461,237,637	831,030,360,117	2,676,491,597,754
	GRAND TOTAL	2,957,288,597,796	831,030,360,117	3,788,318,957,913

Passed in Parliament this thirty-first day of March, two thousand and twenty three.

Clerk of Parliament